The Market for Donors and Nonprofit Sustainability

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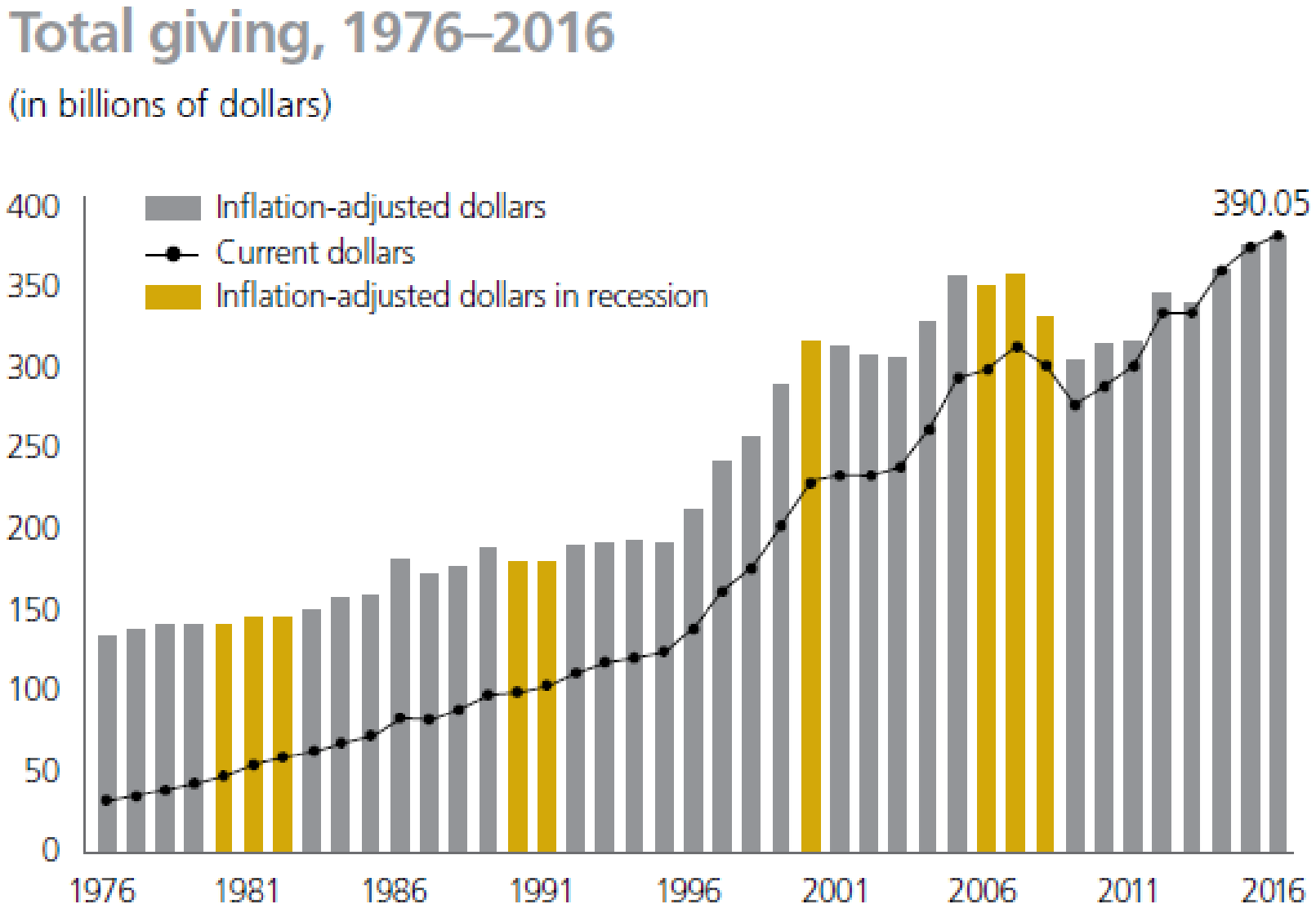
Review of the Charitable Sector

- The IRS tax code 501(c), 508(c), and 509(a) outline specific criteria for an organization to be tax-exempt
- The vast majority of the nonprofit sector is dominated by either private foundations or public charities, both qualifying under IRS 501(c)(3)
- Organizations who automatically qualify as public charities include: churches, schools, medical organizations, and publicly funded organizations,
- "Nonprofit" portion effectively results in a lack of the ability to either receive organizational profits as a form of income (as done with either sole proprietor or partnership organizations) or the issuance of equity in the organization through the form of stock (as done with for-profit corporations)
- While an organization qualifies for tax-exempt status at the federal level, the vast majority of laws governing nonprofit organizations are outlined at the state level.

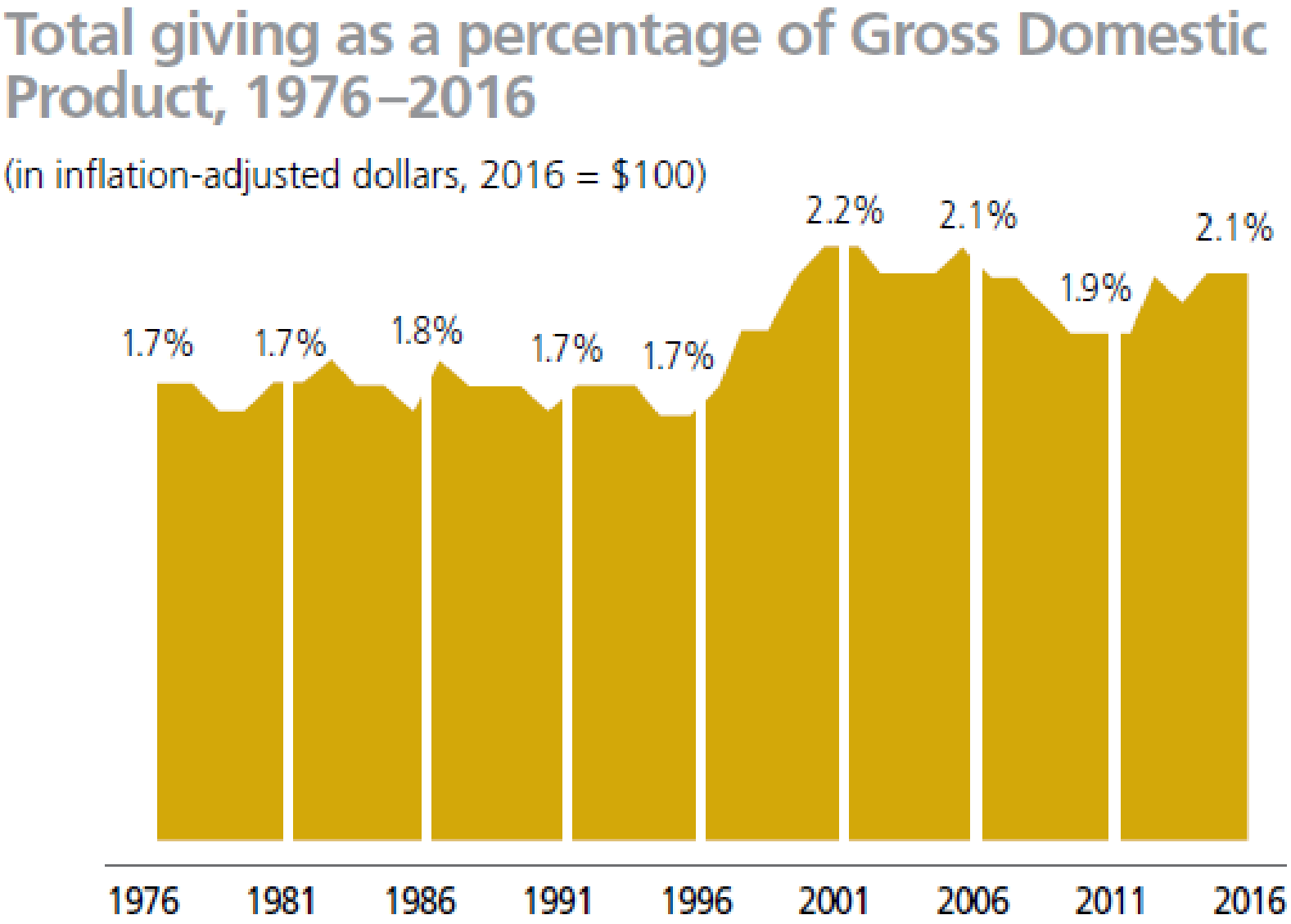
Aggregate Donation Patters

- Charitable contributions and economic performance are heavily linked
  - Contributions regularly total approximately 2% of US GDP in a given year
  - Nearly 40% of the variance in US giving can be explained by changes in the S&P 500 index price (List, 2011)
  - Average individual contributions regularly total approximately 2% of household income
- While contributions do decrease during economic downturns, they do not tend to decrease at the same rate as the economy as a whole

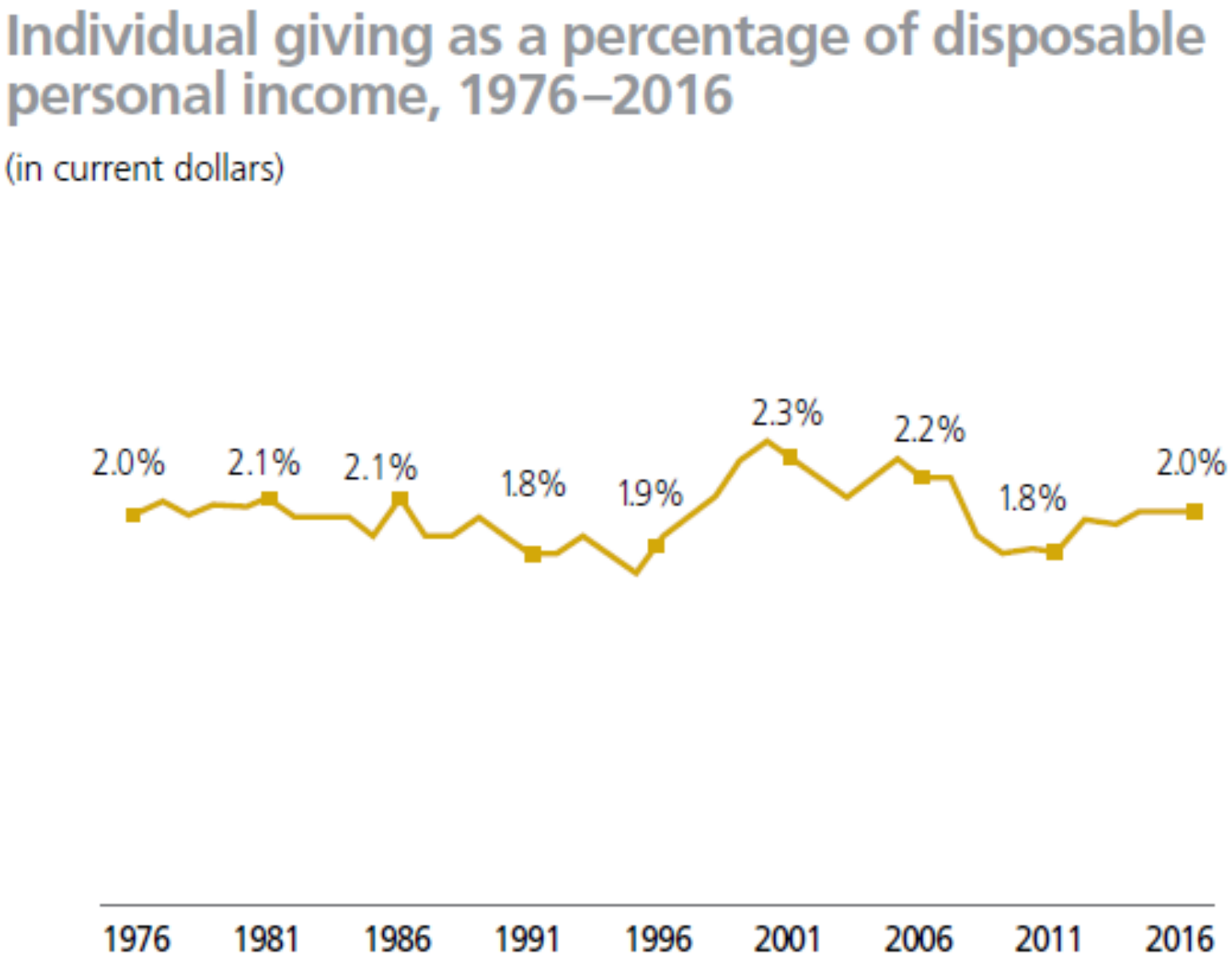
Giving Over Time (Giving USA 2017)



Giving as a Percentage of GDP (Giving USA 2017)



Giving as a Percentage of Income (Giving USA 2017)



Giving Breakdown (Giving USA 2023)

64% $319.04 billion

Giving by Individuals

↓ declined by 6.4% over 2021

21% $105.21 billion

Giving by Foundations

↑ increased 2.5% over 2021

9% $45.60 billion

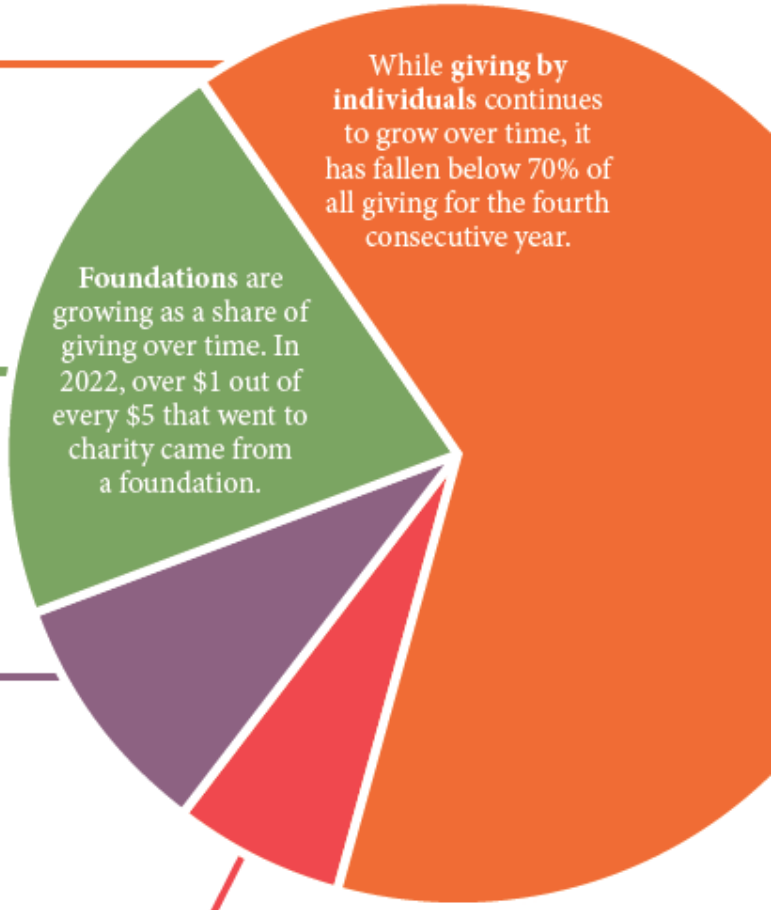
Giving by Bequest

↑ increased 2.3% over 2021

6% $21.08 billion

Giving by Corporations

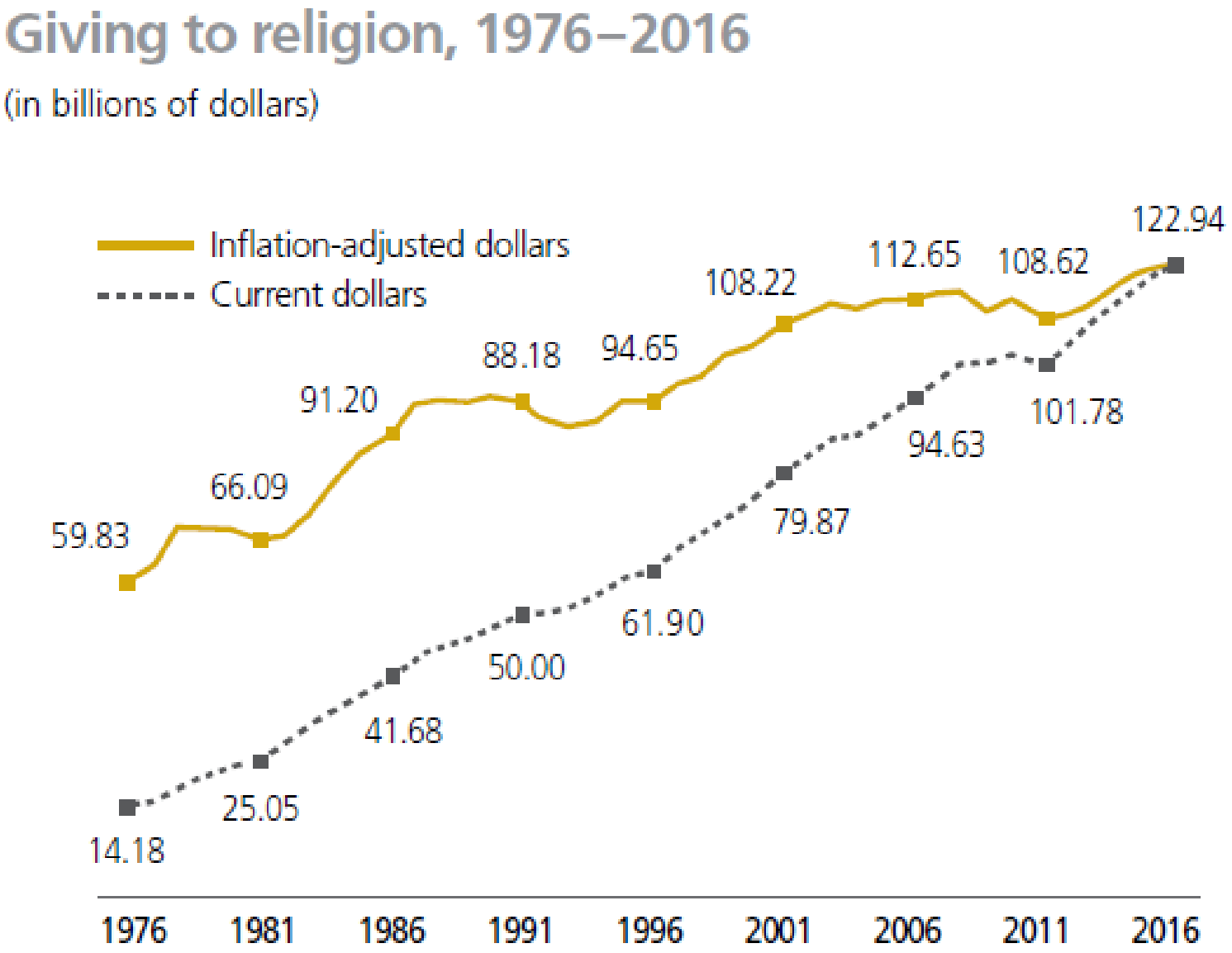
↑ increased 3.4% over 2021



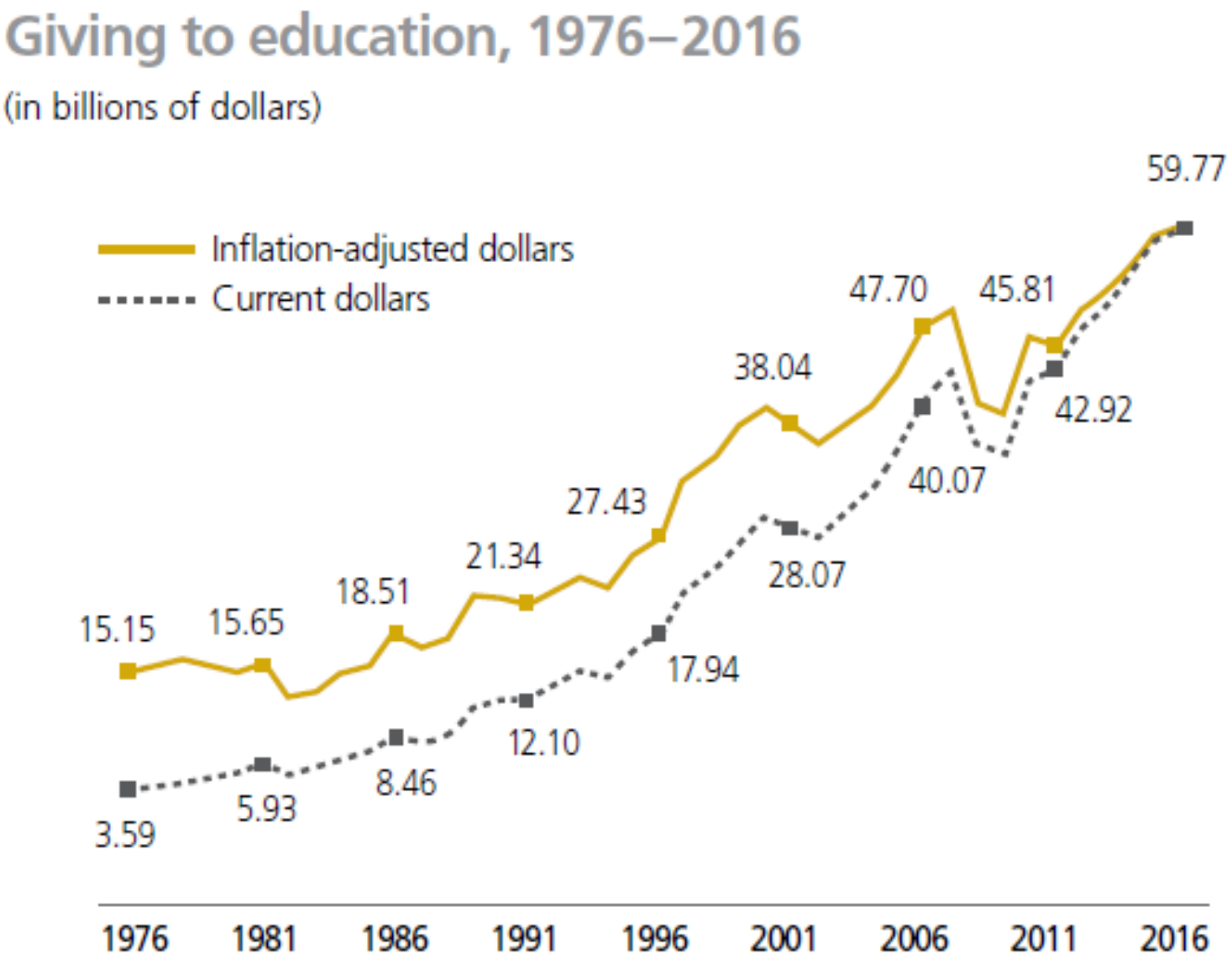
*All figures on this infographic are reported in current dollars unless otherwise noted. Inflation was especially high in 2022, at 8.0%, and results may differ when adjusted for inflation. Learn more in the chapters.

Where do the Donations Go?

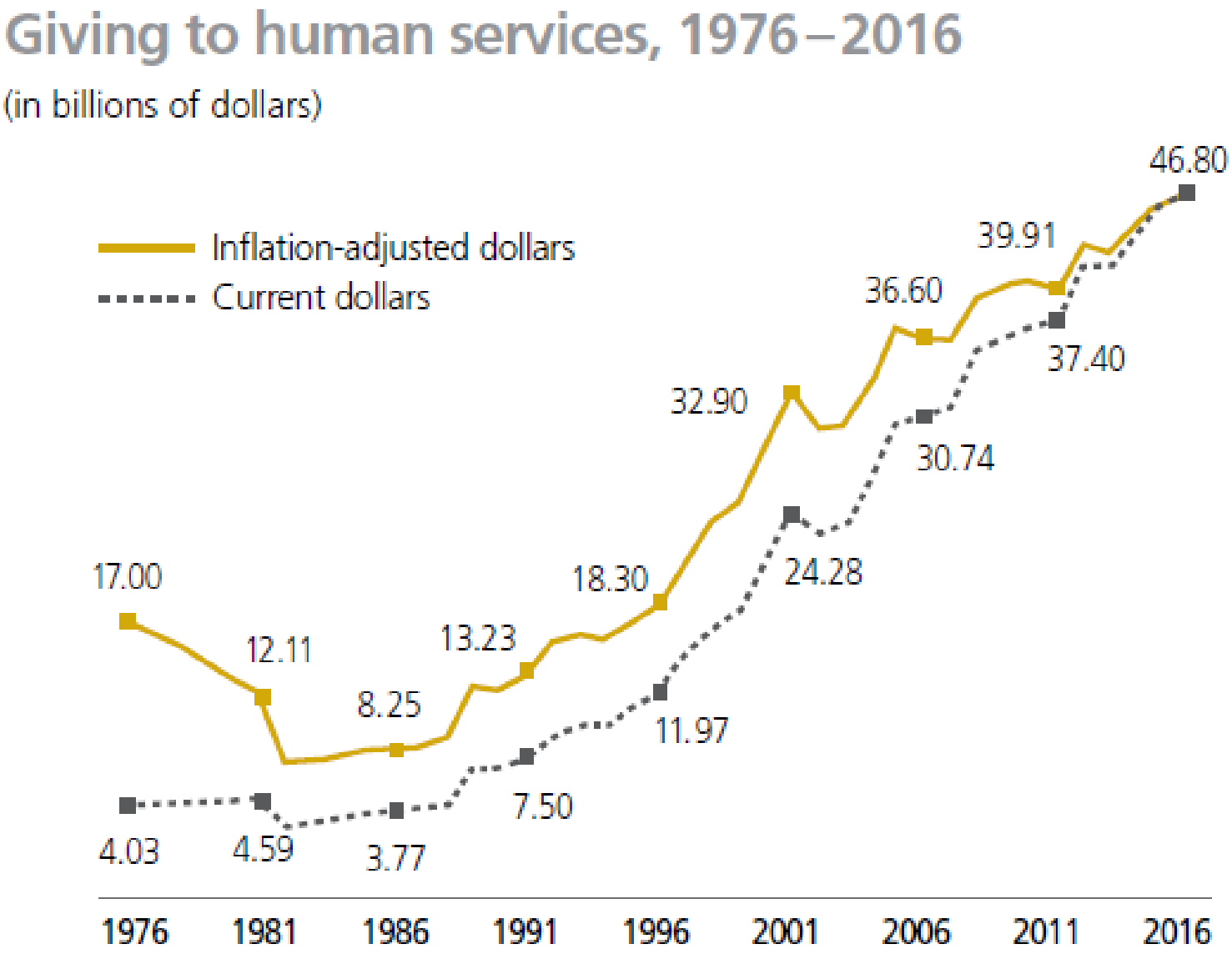
Giving to Religion



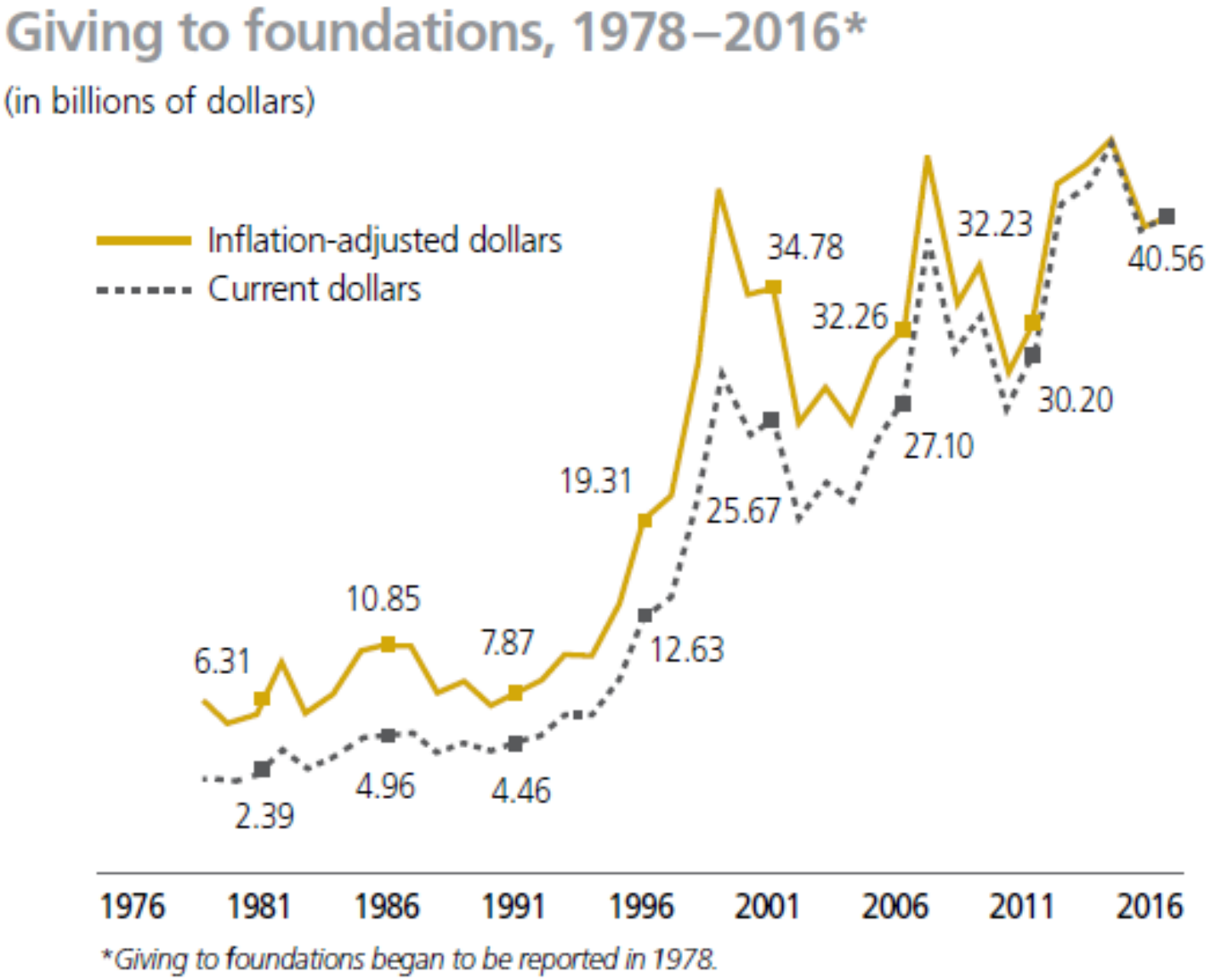
Giving to Education



Giving to Human Services



Giving to Foundations



Who Gives?

- Estimates range between 66% and 89% of American households donate to charity
- The donor profile tends to skew older, whiter, more male, and more educated. *Why?*
  - These characteristics, particularly in the 2000s and 2010s (when these studies were conducted) tend to skew towards more wealthy individuals
- In short: those with the means to do so are the charity donors.
- Nonprofit contributions can be thought of as a voluntary transfer payment from wealthier individuals to poorer individuals
- As the nation continues to diversify, as does the holders of wealth, it would be logical that the donor pool diversifies as well (note: this would be an excellent hypothesis to test)

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Government and Nonprofits

- The government sector and nonprofit sector have always been somewhat tied together through the provision of social services
- Nonprofits represented some of the first social safety net – not just in the United States but worldwide
- Beginning with the Great Depression and FDR's administration through LBJ's "Great Society," government provision of social services began to expand, shifting the role nonprofits played
- With the privatization of government services beginning with Ronald Reagan in the 1980s, this role shifted back for nonprofits to serve as the social safety net
- From 1988 through 2005, government grants to charities more than doubled, even adjusted for inflation.
- The interaction of government grants do not just dollar for dollar increase contributions, as grants can "crowd-out" donor contributions

Government and Donors

- With the establishment of Income taxes in the 1913 Revenue Act, and the charity tax deduction in the 1917 Revenue Act, the US government has subsidized charitable giving for over a century
- For donors who contribute higher than the standard deductible, their contributions represent a dollar for dollar reduction for up to 50% of their tax bill.
- The standard deductible was doubled in the 2018 Tax Cuts and Jobs Act, resulting in a decrease in real charitable contributions, and a restriction on the households who actually deduct their giving from their taxes
- As such, the "price" of charitable giving is generally thought to be $1-%(Top Marginal Tax)
- For donors in the top marginal bracket, it has been shown that their donation behavior is "price irrelevant" as their contribution behavior generally maxes out their tax deductions (Hungerman, 2022)

Nonprofits and Donors

- While individual donors are a shrinking componet of the total giving pie, they are still the largest funding component of the sector
- As of 2009, nonprofits spent on average, $91,000 in fundraising expenditures
- This investment proves to be quite effective for the organization
  - That $91,000 investment returns $787,000 in donations on average (note: the distribution here is wide with a lot of variation)
  - Donors are quite responsive to a variety of different fundraising techniques, including matching grants (List and Karlan, 2007), seed money (List and Lucking-Reiley, 2002), emotional appeals, identity appeals (Chapman et. al., 2018) to name a few
  - There are a variety of methodologies to contact donors for fundraising
- Because of the effectiveness of fundraising in generating nonprofit income, some in the accounting literature are arguing that it should be considered investment in a durable asset

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Defining Nonprofit Sustainability

- *Sustainability* – Ability for an organization to remain active over the long-run
- *Financial sustainability* (Nonprofit context) – Ability for a nonprofit organization to continue pursuing its mission over the long-run
- Nonprofit organizations exist to pursue their vision, operating in concert with the organization's mission
  - If a nonprofit begins straying from the mission, this is referred to as *mission drift*
  - To avoid mission drift, the mission needs to be considered at the core of all strategic planning
  - This includes fundraising and revenue generation
- At its core, the nonprofit organization must balance two (sometimes conflicting) realities:
  1. Pursue the organizational mission through the operation of consistent, quality programs (doing good work)
  2. Obtain the financial backing necessary for organizational stability and maintenance (keeping the lights on)

Risks of Reliance on External Funding

- Nonprofits generally receive a mix of funding from a variety of sources including:
  1. Philanthropic donations (Contributions)
  2. State and Federal Governments (Grants)
  3. Financial Institutions (Loans)
  4. Foundations (Grants and sometimes Contributions)
- In addition to the contributions listed, nonprofits can also generate revenue through fees for program services, membership dues, and unrelated business activities.
- While diversification is useful to prevent a collapse of one source sinking the organization, there is one universal external risk that cannot be fully mitigated: economic downturn

Mitigating External Risks

- While economic downturn produces unavoidable hardship, nonprofits can reduce their reliance on any singular source through the following:
- Developing a coherent, robust fundraising plan
  - Determine a reasonable dollar goal to target
  - Evaluate your fundraising assets
  - Create a strategy maximizing those assets in an efficient manner
  - Write the plan down in a short, comprehensible document widely available within the organization
- Incorporate innovations in fundraising
- Build and foster relations with external investors

Nonprofits and Branding

- Branding and organizational identity is key for organizational success and survival
- Branding begins with the organization's mission and mission statement
  - This statement should be short, memorable, and a guide to all organizational decision making
- Branding is harmed with mission drift – the organization must stay on task to have a cohesive identity
- The brand helps dictate a marketing plan, setting the strategy for the following:
  - Identifying strengths, weaknesses, opportunities, and threats
  - Identifying target markets for donors and service provision
  - Identifying how to best reach those markets and appeal to their interests, beliefs, and desires for a better world

Employing Nonprofit Partnerships

- The growth in the total number of nonprofits vastly outpaces the growth in charitable contributions
  - This is mostly driven by a lack of nonprofit exit, rather than the contemporary view that we have "too many nonprofits"
- One way to minimize competition and vulnerabilities is through utilizing collaborations and partnerships with other nonprofit organizations
- Partnering with other organizations allow for both organizations to utilize their strengths, mitigate their weaknesses, and build financial capacity for stability
- Partnerships with external organizations can result in the merging of the two organizations, but successful, long-term partnerships between two separate nonprofits are quite common in the sector.

Demonstrating Value and Accountability

- Donors increasingly want to see value for their nonprofit dollars, and do not want their donation dollars to go to waste
- It is easier than ever to evaluate the actions of a nonprofit organization – or rather, to access the evaluations of a nonprofit organization done by a third-party watchdog.
- Examples include:
  - GiveWell
  - Charity Navigator
  - GuideStar
  - Charity Watch
  - The Better Business Bureau
- Nonprofits can demonstrate value to their donors through the following:
  - Using program evaluation to demonstrate quantifiable impact
  - Making their annual reports easily readable and found to demonstrate accountability

Nonprofits and the Community

- Nonprofits generally reside in the communities that they serve
- There is a symbiotic relationship between the nonprofit organization and its community
  - The nonprofit exists to better the community it serves
  - The community provides resources that a nonprofit needs to continue to exist
- Nonprofits can better serve their communities by:
  - Having nonprofit boards that match the demographics of the community it services
  - Establishing and maintaining a system of community volunteers

Issues with Fundraising in Economically Challenged Areas

- We have established that the nonprofit sector is largely funded by wealthy individuals
- This presents a problem for nonprofits: the communities with the highest need for the sector are those least equipped to fund it
- This can result in nonprofits:
  - Unable to plan programs beyond one year
  - Uneven service provision
  - Products that deviate from the original grant
  - A constant need for grant writing

Ways to Counteract Said Fundraising Issues

- Foster a culture of giving
- Address the "willingness to give" gap
- Develop a marketing strategy clearly defining the social mission
- Use creative techniques and new technologies to reach a larger donor base
- Strategically collaborate with wealthier organizations for capacity building
- Balance mission and financial needs
- Be present in the community and promote engagement